Vineyard City

Utah County, Utah

ANNUAL FINANCIAL REPORT

For the Year Ended June 30, 2018

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Vineyard City

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June 30, 2018

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A PROFESSIONAL CORPORATION
ESTABLISHED 1974

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INDEPENDENT AUDITOR'S REPORT

Honorable City Council
Vineyard City
Vineyard, Utah

February 1, 2019

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Vineyard City, as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards,* issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Vineyard City, as of June 30, 2018, and the respective changes in financial position and, where applicable, cash flows thereof, for the year then ended in accordance with accounting principles generally accepted in the United States of America.

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Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, and the required supplementary information regarding pensions as listed in the table of contents be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise Vineyard City's basic financial statements. The combining and individual non-major fund financial statements and schedules are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The combining and individual non-major fund financial statements and schedules are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the combining and individual non-major fund financial statements and schedules are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated February 1, 2019 on our consideration of Vineyard City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Vineyard City's internal control over financial reporting and compliance.

Gilbert & Stewart

GILBERT & STEWART, CPA, PC
Certified Public Accountants

MANAGEMENT'S DISCUSSION AND ANALYSIS

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As management of Vineyard City (the City), we offer readers of the City's financial statements this narrative overview and analysis of financial activities of the City for the fiscal year ended June 30, 2018

FINANCIAL HIGHLIGHTS

*Total net position for the City as a whole increased by $7,086,100

*Total unrestricted net position for the City as a whole increased by $882,860

*Total net position for governmental activities increased by $6,177,224

*Total net position for business-type activities increased by $908,877

BASIC FINANCIAL STATEMENTS

This discussion and analysis is intended to serve as an introduction to the basic financial statements of Vineyard City. The basic financial statements comprise three components: (1) government wide financial statements, (2) fund financial statements, and (3) notes to the financial statements.

Government-wide financial statements. The government-wide financial statements are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private-sector business.

The statement of net position presents information on all of the City's assets, deferred outflows, liabilities, and deferred inflows, with the difference between the two reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City is improving or deteriorating.

The statement of activities presents information showing how the City's net position changed during the fiscal year reported. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods.

Both of the government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (governmental activities) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (business-type activities). The statement of activities is presented on two pages. The first page reports the extent to which each function or program is self-supporting through fees and intergovernmental aid. The second page identifies the general revenues of the City available to cover any remaining costs of the functions or programs.

Fund financial statements. A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The City also uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City can be divided into two categories: governmental funds and proprietary funds.

Governmental funds . These funds are used to account for the same functions reported as governmental activities in the government-wide financial statements. Governmental fund financial statements focus on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources available at the end of the fiscal year.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for government funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the government's near-term financing decisions. Both the government fund balance sheet and the government fund statement of the revenues, expenditures, and changes in fund balances provide reconciliation to facilitate this comparison between governmental funds and governmental activities.

The City maintains three major governmental funds, the general fund, redevelopment agency fund, and capital projects fund.

The City adopts an annual appropriated budget for all its funds. Budgetary comparison schedules have been provided to demonstrate legal compliance with the adopted budget for the general fund and redevelopment agency fund.

The basic governmental fund financial statements can be found later in this report; see Table of Contents.

Proprietary funds . The City maintains one type of proprietary fund. Enterprise funds are used to report the same functions presented as business-type activities in the government-wide financial statements. The City uses four enterprise fund to account for the operations of the water, sewer, storm water, and transportation activities.

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The enterprise funds are considered major funds of the City.

The proprietary fund financial statements can be found later in this report; see Table of Contents.

Notes to the financial statements. The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements are reported later in this report; see Table of Contents.

Other information. In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the City.

FINANCIAL ANALYSIS

Vineyard City's Net Position

	Governmental Activities		Business-type Activities			
	Current Year	Previous Year	Current Year	Previous Year	Total Current Year	Total Previous Year
Current and other assets	$ 7,634,897	8,603,449	2,078,185	2,276,386	9,713,081	10,879,835
Non-current assets	121,129,347	84,724,592	11,467,979	10,726,512	132,597,326	95,451,104
Deferred outflows of resources	444,786	268,928	-	-	444,786	268,928
Total assets and deferred outflows	**$ 129,209,030**	**93,596,969**	**13,546,164**	**13,002,898**	**142,755,193**	**106,599,867**
Long-term debt outstanding	$ 63,709,898	34,898,119	5,347,023	5,621,213	69,056,921	40,519,332
Other liabilities	897,654	699,760	969,298	1,060,719	1,866,953	1,760,479
Deferred inflows of resources	2,188,606	1,763,442	-	-	2,188,606	1,763,442
Total liabilities and deferred inflows	**66,796,158**	**37,361,321**	**6,316,322**	**6,681,932**	**73,112,480**	**44,043,253**
Net position:						
Net investment in capital assets	55,047,966	49,599,584	6,120,956	5,105,299	61,168,922	54,704,883
Restricted	2,860,214	3,121,012	1,560,350	1,560,350	4,420,564	4,681,362
Unrestricted	4,504,692	3,515,051	(451,464)	(344,683)	4,053,228	3,170,368
Total net position	**$ 62,412,872**	**56,235,648**	**7,229,842**	**6,320,966**	**69,642,714**	**62,556,614**

As noted earlier, net position may serve over time as a useful indicator of financial position. Total assets and deferred outflows of resources exceeded total liabilities and deferred inflow of resources at the close of the year by $69,642,714, an increase of $7,086,100 from the previous year. This change is equivalent to the net income for the year, in private sector terms.

Total unrestricted net position at the end of the year is $4,053,228, which represents an increase of $882,860 from the previous year. Unrestricted net position are those resources available to finance day-to-day operations without constraints established by debt covenants, enabling legislation, or other legal requirements.

The amount of current and other assets represent the amounts of cash and receivables on hand at the end of each year. Other liabilities are the amounts of current and other liabilities due, at year end, for goods and services acquired.

Changes in capital assets are the result of the difference, in the current year, of the cost of acquisition of capital assets and any depreciation charges on capital assets. Change in long-term debt is the difference in the amount of debt issued and that which has been paid during the year.

FINANCIAL ANALYSIS (continued)

Vineyard City's Change in Net Position

	Governmental Activities		Business-type Activities			
	Current Year	Previous Year	Current Year	Previous Year	Total Current Year	Total Previous Year
Program revenues:						
Charges for services	$ 2,387,121	2,947,287	1,896,335	1,453,508	4,283,456	4,400,795
Operating grants	200,577	78,070	-	-	200,577	78,070
Capital grants	1,413,013	1,637,965	954,326	1,255,404	2,367,340	2,893,369
General revenues:						
Property taxes	9,032,884	7,582,405	-	-	9,032,884	7,582,405
Sales tax	753,751	572,252	-	-	753,751	572,252
Other taxes	313,777	278,766	-	-	313,777	278,766
Other revenues	1,657,081	470,127	4,695	6,975	1,661,776	477,102
Total revenues	**15,758,205**	**13,566,872**	**2,855,356**	**2,715,886**	**18,613,562**	**16,282,758**
Expenses:						
General government	5,519,049	3,456,424	-	-	5,519,049	3,456,424
Public safety	1,223,996	713,454	-	-	1,223,996	713,454
Highways and public works	1,099,496	1,115,822	-	-	1,099,496	1,115,822
Parks and recreation	161,842	89,534	-	-	161,842	89,534
Interest on long-term debt	1,320,387	1,072,802	-	-	1,320,387	1,072,802
Water	-	-	1,190,394	898,945	1,190,394	898,945
Sewer	-	-	778,458	601,296	778,458	601,296
Storm water	-	-	83,182	59,992	83,182	59,992
Transportation	-	-	150,658	8,543	150,658	8,543
Total expenses	**9,324,770**	**6,448,035**	**2,202,691**	**1,568,776**	**11,527,461**	**8,016,811**
Transfers in (out)	(256,211)	-	256,211	-	-	-
Change in net position	**$ 6,177,224**	**7,118,837**	**908,877**	**1,147,110**	**7,086,100**	**8,265,947**

For the City as a whole, total revenues increased by $2,330,804 compared to the previous year, while total expenses increased by $3,510,650. The total net change of $7,086,100 is, in private sector terms, the net income for the year which is $1,179,847 less than the previous year.

Governmental activities revenues of $15,758,205 is an increase of $2,191,333 from the previous year. This is primarily due to increases in tax and interest revenue during the year. Governmental activities expenses of $9,324,770 is an increase of $2,876,735 from the previous year. While expenses for highways and public works decreased, expenses in all other departments increased during the year.

Business-type activities revenue of $2,855,356 is an increase of $139,470 from the previous year. Service revenues increased by $442,828 and capital grants decreased by $301,077. Business-type activities expenses of $2,202,691 is an increase of $633,915 from the previous year. This is due to an overall increase in operation expenses.

BALANCES AND TRANSACTIONS OF INDIVIDUAL FUNDS

Some of the more significant changes in fund balances and fund net position, and any restrictions on those amounts, is described below:

General Fund
The fund balance of $1,706,381 reflects an increase of $426,855 from the previous year. Total revenues increased by $224,008. Taxes, Intergovernmental revenues, Interest and Miscellaneous revenues increased by $749,300. All other revenues decreased by a total of $525,292.

Total expenditures, excluding transfers, increased by $3,359,971. Current expenditure changes by department were as follows: general government increased by $2,873,506; public safety increased by $466,475; highways and public works decreased by $35,565; and parks and recreation increased by $55,556.

The unassigned fund balance is $1,706,381.

Redevelopment Agency Fund
The fund balance of $54,886,260 reflects an increase of $29,999,736. Total revenues, excluding transfers, increased by $18,885,200, while total expenditures decreased by $14,946,800.

Water Fund
Net operating loss was $5,650 compared to the previous year net operating income of $57,278. The change in net position was $421,950, compared to the previous year's net change of $725,994.

The amount restricted for construction is $1,560,350. The unrestricted net position is a deficit of $780,044.

Sewer Fund
Net operating loss was $218,981 compared to the previous year net operating loss of $207,644. The change in net position was $328,015, compared to the previous year's net change of $383,333.

The unrestricted net position is $102,701.

GENERAL FUND BUDGETARY HIGHLIGHTS

Revenues for the current year, exclusive of transfers and fund balance appropriations, were originally budgeted in the amount of $4,586,300. The final budget was $5,202,660. Actual revenues, excluding transfers, amounted to $5,693,352, which was $490,692 more than budgeted.

There were no transfers in for the current year originally budgeted. The final budget for transfers in was zero. Actual transfers in were made in the amount of $1,400,000.

Expenditures for the current year, excluding transfers, were originally budgeted in the amount of $3,937,600. The final budget was $6,845,200. Actual expenditures amounted to $6,410,285, which was $434,915 less than budgeted.

Transfers out for the year were originally budgeted in the amount of $648,700. The final budget for transfers out was for the amount of $1,198,760. Actual transfers out were made in the amount of $256,211.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Vineyard City's Capital Assets (net of depreciation)

	Governmental Activities		Business-type Activities			
	Current Year	Previous Year	Current Year	Previous Year	Total Current Year	Total Previous Year
Net Capital Assets:						
Land and water rights	$ 13,504,871	10,754,674	531,575	531,575	14,036,446	11,286,249
Buildings	2,411,272	2,411,272	-	-	2,411,272	2,411,272
Improvements other than buildings	203,959	203,959	-	-	203,959	203,959
Machinery and equipment	725,509	175,127	-	-	725,509	175,127
Infrastructure	49,640,060	45,402,556	-	-	49,640,060	45,402,556
Water and sewer systems	-	-	10,341,849	10,341,849	10,341,849	10,341,849
Construction in progress	1,502,294	875,183	1,563,455	1,563,455	3,065,749	2,438,638
Total	67,987,964	59,822,770	12,436,879	12,436,879	80,424,843	72,259,649
Less accumulated depreciation	(4,435,146)	(3,144,025)	(2,041,671)	(1,710,367)	(6,476,817)	(4,854,392)
Net Capital Assets	**$ 63,552,818**	**56,678,745**	**10,395,208**	**10,726,512**	**73,948,026**	**67,405,257**

The total amount of capital assets, net of depreciation, of $73,948,026 is an increase of $6,542,769 from the previous year.

Governmental activities capital assets, net of depreciation, of $63,552,818 is an increase of $6,874,073 from the previous year.

Business-type activities capital assets, net of depreciation, of $10,395,208 is a decrease of $331,304 from the previous year.

Additional information regarding capital assets may be found in the notes to financial statements.

CAPITAL ASSETS AND DEBT ADMINISTRATION (continued)

Vineyard City's Outstanding Debt - Revenue Bonds

	Current Year	Previous Year
Governmental activities:		
2016 Tax Increment Revenue Bond	$ 13,262,000	13,056,000
2016 RDA Refunding Bond	13,652,000	14,535,000
2017 RDA Bond	29,540,000	-
Note payable - Developer	6,937,112	7,028,744
Total governmental	**$ 63,391,112**	**34,619,744**
Business-type activities:		
Note Payable - Developer	5,347,023	5,621,213
Total business-type	**$ 5,347,023**	**5,621,213**
Total outstanding debt	**$ 68,738,135**	**40,240,957**

Additional information regarding the long-term liabilities may be found in the notes to financial statements.

ECONOMIC FACTORS AND NEXT YEAR'S BUDGETS AND RATES

No significant economic changes that would affect the City are expected for the next year. Budgets have been set on essentially the same factors as the current year being reported.

REQUESTS FOR INFORMATION

This financial report is designed to provide a general overview of the Vineyard City's finances for all those with an interest in the City's finances. Questions concerning any information provided in this report or requests for additional financial information should be addressed to the City Finance Director, Vineyard City, 240 E. Grammond Rd., Vineyard, UT 84058.

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BASIC FINANCIAL STATEMENTS

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Vineyard City

STATEMENT OF NET POSITION

June 30, 2018

	Governmental Activities	Business-type Activities	Total
ASSETS AND DEFERRED OUTFLOWS OF RESOURCES:			
Assets:			
Current assets:			
Cash and cash equivalents	$ 5,059,597	1,792,318	6,851,915
Accounts receivable, net	2,575,299	285,867	2,861,166
Other assets	-	-	-
Total current assets	7,634,897	2,078,185	9,713,081
Non-current assets:			
Restricted cash and cash equivalents	57,576,529	-	57,576,529
Capital assets:			
Not being depreciated	15,007,165	2,095,030	17,102,195
Net of accumulated depreciation	48,545,653	8,300,178	56,845,831
Other non-current assets	-	1,072,771	1,072,771
Total non-current assets	121,129,347	11,467,979	132,597,326
Total assets	128,764,244	13,546,164	142,310,407
Deferred outflows of resources - pensions	444,786	-	444,786
Total assets and deferred outflows of resources	**$ 129,209,030**	**13,546,164**	**142,755,193**
LIABILITIES AND DEFERRED INFLOWS OF RESOURCES:			
Liabilities:			
Current liabilities:			
Accounts payable and accrued liabilities	$ 711,177	969,298	1,680,475
Accrued interest payable	186,477	-	186,477
Revenue bonds due within one year	2,972,000	-	2,972,000
Total current liabilities	3,869,654	969,298	4,838,953
Non-current liabilities:			
Notes payable	6,937,112	5,347,023	12,284,135
Revenue bonds due after one year	53,482,000	-	53,482,000
Net pension liability	318,786	-	318,786
Total non-current liabilities	60,737,898	5,347,023	66,084,921
Total liabilities	64,607,552	6,316,322	70,923,874
Deferred inflows of resources - property taxes	1,972,116	-	1,972,116
Deferred inflows of resources - pensions	216,490	-	216,490
Total liabilities and deferred inflows of resources	**66,796,158**	**6,316,322**	**73,112,480**
NET POSITION:			
Net investment in capital assets	55,047,966	6,120,956	61,168,922
Restricted for:			
Debt service	-	-	-
Construction	2,860,214	1,560,350	4,420,564
Unrestricted	4,504,692	(451,464)	4,053,228
Total net position	**62,412,872**	**7,229,842**	**69,642,714**
Total liabilities, deferred inflows of resources and net position	**$ 129,209,030**	**13,546,164**	**142,755,193**

The notes to the financial statements are an integral part of this statement.

Vineyard City

STATEMENT OF ACTIVITIES

For the Year Ended June 30, 2018

FUNCTIONS/PROGRAMS:	Expenses	Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Net (Expense) Revenue (To Next Page)
Primary government:					
Governmental activities:					
General government	$ 5,519,049	1,570,912	-	-	(3,948,137)
Public safety	1,223,996	-	-	-	(1,223,996)
Highways and public works	1,099,496	816,208	200,577	1,413,013	1,330,303
Parks and recreation	161,842	-	-	-	(161,842)
Interest on long-term debt	1,320,387	-	-	-	(1,320,387)
Total governmental activities	**9,324,770**	**2,387,121**	**200,577**	**1,413,013**	**(5,324,059)**
Business-type activities:					
Water	1,190,394	1,184,744	-	422,904	417,255
Sewer	778,458	559,477	-	531,085	312,104
Storm water	83,182	95,725	-	337	12,880
Transporation utility	150,658	56,389	-	-	(94,269)
Total business-type activities	**2,202,691**	**1,896,335**	**-**	**954,326**	**647,970**
Total primary government	**$ 11,527,461**	**4,283,456**	**200,577**	**2,367,340**	**(4,676,089)**

(continued on next page)

The notes to the financial statements are an integral part of this statement.

Vineyard City

STATEMENT OF ACTIVITIES (continued)

For the Year Ended June 30, 2018

	Governmental Activities	Business-type Activities	Total
CHANGES IN NET POSITION:			
Net (expense) revenue (from previous page)	**$ (5,324,059)**	**647,970**	**(4,676,089)**
General revenues:			
Property taxes	9,032,884	-	9,032,884
Sales tax	753,751	-	753,751
Other taxes	313,777	-	313,777
Unrestricted investment earnings	1,128,464	4,695	1,133,159
Contributed assets	508,248	-	508,248
Miscellaneous	20,370	-	20,370
Total general revenues	**11,757,494**	**4,695**	**11,762,189**
Transfers in (out)	(256,211)	256,211	-
Change in net position	**6,177,224**	**908,877**	**7,086,100**
Net position - beginning	56,235,648	6,320,966	62,556,614
Net position - ending	**$ 62,412,872**	**7,229,842**	**69,642,714**

The notes to the financial statements are an integral part of this statement.

Vineyard City

BALANCE SHEET - GOVERNMENTAL FUNDS

June 30, 2018

	General Fund	Special Revenue RDA Fund	Nonmajor Capital Projects Fund	Nonmajor Special Revenue Impact Fee Fund	Total Governmental Funds
ASSETS					
Cash and cash equivalents	$ 2,004,953	-	3,054,644	-	5,059,597
Accounts receivable, net of allowances	2,315,761	259,538	-	-	2,575,299
Restricted cash and cash equivalents	-	54,688,020	-	2,888,509	57,576,529
TOTAL ASSETS	**$ 4,320,714**	**54,947,558**	**3,054,644**	**2,888,509**	**65,211,426**
LIABILITIES AND DEFERRED INFLOWS OF RESOURCES					
Liabilities:					
Accounts payable	$ 155,955	57,163	20,697	28,296	262,110
Accrued liabilities	444,932	4,135	-	-	449,067
Total liabilities	600,887	61,298	20,697	28,296	711,177
Deferred inflows of resources - property taxes	2,013,447	-	-	-	2,013,447
TOTAL LIABILITIES AND DEFERRED INFLOWS OF RESOURCES	**2,614,334**	**61,298**	**20,697**	**28,296**	**2,724,624**
FUND BALANCES:					
Restricted for:					
Impact fees	-	-	-	2,860,214	2,860,214
Redevelopment Agency	-	54,886,260	-	-	54,886,260
Assigned for:					
Capital projects	-	-	3,033,947	-	3,033,947
Unassigned	1,706,381	-	-	-	59,626,588
TOTAL FUND BALANCES	**1,706,381**	**54,886,260**	**3,033,947**	**2,860,214**	**62,486,802**
TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND FUND BALANCES	**$ 4,320,714**	**54,947,558**	**3,054,644**	**2,888,509**	**65,211,426**

The notes to the financial statements are an integral part of this statement.

Vineyard City

STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES - GOVERNMENTAL FUNDS

For the Year Ended June 30, 2018

	General Fund	Special Revenue RDA Fund	Nonmajor Capital Projects Fund	Nonmajor Special Revenue Impact Fee Fund	Total Governmental Funds
Revenues:					
Taxes:					
Property	$ 1,881,821	7,143,782	-	-	9,025,603
Sales	753,751	-	-	-	753,751
Other taxes	313,777	-	-	-	313,777
License and permits	1,570,912	-	-	-	1,570,912
Intergovernmental revenues	200,577	-	-	-	200,577
Charges for services	816,208	-	-	-	816,208
Fines and forfeitures	-	-	-	-	-
Interest	135,934	954,156	-	38,374	1,128,464
Miscellaneous revenue	20,370	-	-	-	20,370
Total revenues	**5,693,352**	**8,097,938**	**-**	**38,374**	**13,829,664**
Expenditures:					
Current:					
General government	4,722,482	6,210,909	593,621	-	11,527,012
Public safety	1,179,929	-	-	-	1,179,929
Highways and public works	366,590	-	-	-	366,590
Parks and recreation	141,285	-	-	-	141,285
Debt service:					
Principal	-	3,429,580	-	-	3,429,580
Interest	-	1,258,540	-	-	1,258,540
Total expenditures	**6,410,285**	**10,899,029**	**593,621**	**-**	**17,902,936**
Excess (deficiency) of revenues over (under) expenditures	**(716,933)**	**(2,801,091)**	**(593,621)**	**38,374**	**(4,073,272)**
Other financing sources and (uses):					
Bond proceeds	-	32,292,580	-	-	32,292,580
Impact fees	-	-	-	1,413,013	1,413,013
Developer contributions	-	508,248	-	-	508,248
Developer reimbursements	-	-	-	(1,620,553)	(1,620,553)
Transfers in	1,400,000	-	256,211	-	1,656,211
Transfers (out)	(256,211)	-	(1,656,211)	-	(1,912,423)
Total other financing sources and (uses)	**1,143,789**	**32,800,828**	**(1,400,000)**	**(207,540)**	**32,337,076**
Net change in fund balances	**426,855**	**29,999,736**	**(1,993,621)**	**(169,166)**	**28,263,804**
Fund balances - beginning of year	1,279,525	24,886,524	5,027,569	3,121,012	34,314,631
Fund balance - end of year	**$ 1,706,381**	**54,886,260**	**3,033,947**	**2,951,846**	**62,578,434**

The notes to the financial statements are an integral part of this statement.

Vineyard City

RECONCILIATION OF THE BALANCE SHEET OF GOVERNMENTAL FUNDS TO THE STATEMENT OF NET POSITION

June 30, 2018

Total Fund Balance for Governmental Funds	**$ 62,486,802**
Total net position reported for governmental activities in the statement of net position is different because:	
Capital assets used in governmental funds are not financial resources and therefore are not reported in the funds:	
Capital assets, at cost	67,987,964
Less accumulated depreciation	(4,435,146)
Net capital assets	63,552,818
Net pension assets are not financial resources and, therefore, are not reported in the funds.	-
Deferred outflows of resources - pensions, a consumption of net position that applies to future periods, is not shown in the funds statements.	444,786
Long-term liabilities, for funds other than enterprise funds, are recorded in the government-wide statements but not in the fund statements.	
General long-term debt and notes	(63,391,112)
Interest accrued but not yet paid on long-term debt	(186,477)
Net pension liability	(318,786)
Certain revenue is deferred in governmental funds but not in the statement of net position because it qualifies for recognition under the economic resources measurement focus.	
Deferred inflows of resources - delinquent property tax	41,331
Deferred inflows of resources - pensions	(216,490)
Total Net Position of Governmental Activities	**$ 62,412,872**

The notes to the financial statements are an integral part of this statement.

Vineyard City

RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES OF GOVERNMENTAL FUNDS TO THE STATEMENT OF ACTIVITIES

For the Year Ended June 30, 2018

Net Change in Fund Balances - Total Governmental Funds	**$ 28,263,804**
Amounts reported for governmental activities in the statement of activities are different because:	
Governmental funds report capital outlays as expenditures. However, in the statement of activities, assets with a material cost are capitalized and the cost is allocated over their estimated useful lives and reported as depreciation expenses.	
Capital outlays	7,656,946
Contributed playground equipment	508,248
Depreciation expense	(1,291,121)
Net	6,874,073
The Statement of Activities show pension benefits, pension expenses, and non-employer contributions related GASB 68 that are not shown in the fund statements.	(43,087)
Bond proceeds are reported as financing sources in government funds. In the statement of net assets, however, issuing debt increases long-term liabilities and does not affect the statement of activities.	
Debt issued - bonds	(32,292,580)
Repayment of debt principal is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net position.	
Long-term debt principal repayments	3,429,580
Accrued interest for long-term debt is not reported as expenditure for the current period, while it is recorded in the statement of activities.	
Change in accrued interest	(61,846)
Governmental funds do not report certain revenues because these revenues are not available for current period expenses.	
Change in deferred inflow of resources - delinquent property tax	7,281
The City has entered into an agreement to pay back a developer for cost incurred developing a part of the City. The City is responsible to pay back a portion of each impact fee collected in that area. Governmental funds report the payments as expenditures. However, in the statement of activities, it used to pay down the long-term liability to the developer.	91,632
Change in Net Position of Governmental Activities	**$ 6,268,856**

The notes to the financial statements are an integral part of this statement.

Vineyard City

STATEMENT OF NET POSITION - PROPRIETARY FUND

June 30, 2018

	Water Fund	Sewer Fund	Storm Water Fund	Transp-ortation Utility Fund	Total Utility Funds
ASSETS:					
Current assets:					
Cash and cash equivalents	$ 1,247,244	189,699	27,975	327,400	1,792,318
Accounts receivable, net	188,951	79,239	10,839	6,838	285,867
Total current assets	1,436,195	268,937	38,814	334,238	2,078,185
Non-current assets:					
Capital assets:					
Not being depreciated	531,575	1,563,455	-	-	2,095,030
Net of accumulated depreciation	1,871,914	6,428,264	-	-	8,300,178
Other non-current assets	1,019,039	53,732	-	-	1,072,771
Total non-current assets	3,422,527	8,045,452	-	-	11,467,979
Total assets	**$ 4,858,723**	**8,314,389**	**38,814**	**334,238**	**13,546,164**
LIABILITIES:					
Current liabilities:					
Accounts payable	$ 269,658	150,063	-	144,385	564,107
Accrued liabilities	386,231	16,173	2,787	-	405,192
Total current liabilities	655,890	166,236	2,787	144,385	969,298
Non-current liabilities:					
Notes payable	757,091	4,589,932	-	-	5,347,023
Total non-current liabilities	757,091	4,589,932	-	-	5,347,023
Total liabilities	**1,412,981**	**4,756,168**	**2,787**	**144,385**	**6,316,322**
NET POSITION:					
Net investment in capital assets	2,665,436	3,455,520	-	-	6,120,956
Restricted for:					
Capital projects	1,560,350	-	-	-	1,560,350
Unrestricted	(780,044)	102,701	36,027	189,853	(451,464)
Total net position	**3,445,742**	**3,558,221**	**36,027**	**189,853**	**7,229,842**
Total liabilities and net position	**$ 4,858,723**	**8,314,389**	**38,814**	**334,238**	**13,546,164**

The notes to the financial statements are an integral part of this statement.

Vineyard City

STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION - PROPRIETARY FUND

For the Year Ended June 30, 2018

	Water Fund	Sewer Fund	Storm Water Fund	Transp-ortation Utility Fund	Total Utility Funds
Operating income:					
Charges for sales and service	$ 981,367	559,477	95,725	56,389	1,692,958
Connection fees	203,377	-	-	-	203,377
Total operating income	**1,184,744**	**559,477**	**95,725**	**56,389**	**1,896,335**
Operating expenses:					
Personnel services	202,421	109,600	79,312	6,273	397,605
Utilities	13,069	19,928	-	-	32,997
Repair and maintenance	895,008	386,155	3,441	-	1,284,603
Professional and technical	9,187	-	-	144,385	153,572
Other supplies and expenses	2,180	-	430	-	2,610
Depreciation expense	68,530	262,774	-	-	331,304
Total operating expense	**1,190,394**	**778,458**	**83,182**	**150,658**	**2,202,691**
Net operating income (loss)	**(5,650)**	**(218,981)**	**12,543**	**(94,269)**	**(306,356)**
Non-operating income (expense):					
Impact fees	422,904	531,085	337	-	954,326
Interest income	4,695	-	-	-	4,695
Total non-operating income (expense)	**427,599**	**531,085**	**337**	**-**	**959,021**
Income (loss) before transfers	**421,950**	**312,104**	**12,880**	**(94,269)**	**652,665**
Transfers in	-	15,911	-	240,300	256,211
Change in net position	**421,950**	**328,015**	**12,880**	**146,031**	**908,877**
Net position - beginning	3,023,792	3,230,205	23,147	43,821	6,320,966
Net position - ending	**$ 3,445,742**	**3,558,221**	**36,027**	**189,853**	**7,229,842**

The notes to the financial statements are an integral part of this statement.

Vineyard City

STATEMENT OF CASH FLOWS

For the Year Ended June 30, 2018

	Water Fund	Sewer Fund	Storm Water Fund	Transp-ortation Utility Fund	Total Utility Funds
Cash flows from operating activities:					
Cash received from customers - service	$ 1,108,595	545,104	92,814	54,024	1,800,537
Cash paid to suppliers	(1,879,113)	(749,481)	(3,871)	-	(2,632,465)
Cash paid to employees	(202,457)	(114,233)	(79,682)	(6,741)	(403,114)
Net cash provided (used) in operating activities	**(972,975)**	**(318,610)**	**9,261**	**47,283**	**(1,235,042)**
Cash flows from noncapital financing activities:					
Net interfund activity	-	15,911	-	240,300	256,211
Net cash provided (used) in noncapital financing activities	**-**	**15,911**	**-**	**240,300**	**256,211**
Cash flows from capital and related financing activities:					
Cash received from impact fees	422,904	531,085	337	-	954,326
Cash payments for capital assets	-	-	-	-	-
Cash payments for notes payable	(23,135)	(251,055)	-	-	(274,190)
Net cash provided (used) in capital and related financing activities	**399,769**	**280,030**	**337**	**-**	**680,136**
Cash flows from investing activities:					
Cash received from interest earned	4,695	-	-	-	4,695
Net cash provided (used) in investing activities	**4,695**	**-**	**-**	**-**	**4,695**
Net increase (decrease) in cash	**(568,511)**	**(22,669)**	**9,598**	**287,583**	**(294,000)**
Cash balance, beginning	1,815,755	212,368	18,378	39,817	2,086,317
Cash balance, ending	**$ 1,247,244**	**189,699**	**27,975**	**327,400**	**1,792,318**
Cash reported on the statement of net position:					
Cash and cash equivalents	$ 1,247,244	189,699	27,975	327,400	1,792,318
Non-current restricted cash	-	-	-	-	-
Total cash and cash equivalents	**$ 1,247,244**	**189,699**	**27,975**	**327,400**	**1,792,318**

The notes to the financial statements are an integral part of this statement.

Vineyard City

STATEMENT OF CASH FLOWS (continued)

For the Year Ended June 30, 2018

Reconciliation of Operating Income to Net Cash Provided (Used) in Operating Activities:	Water Fund	Sewer Fund	Storm Water Fund	Transp-ortation Utility Fund	Total Utility Funds
Net operating income (expense)	**$ (5,650)**	**(218,981)**	**12,543**	**(94,269)**	**(306,356)**
Adjustments to reconcile operating income or (loss) to net cash provided (used) in operating activities:					
Depreciation and amortization	68,530	262,774	-	-	331,304
Changes in assets and liabilities:					
(Increase) decrease in receivables	(76,149)	(14,373)	(2,912)	(2,365)	(95,798)
Increase (decrease) in payables	(959,707)	(348,031)	(371)	143,916	(1,164,192)
Net cash provided (used) in operating activities	**$ (972,975)**	**(318,610)**	**9,261**	**47,283**	**(1,235,042)**

The notes to the financial statements are an integral part of this statement.

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1-A. Reporting entity

Vineyard City (the City) a municipal corporation located in Utah County, Utah, operates under a Mayor Council form of government. The City was incorporated on May 11, 1989. The accompanying financial statements present their City and its component units, entities for which the City is considered to be financially accountable.

The City includes the financial statements of the Redevelopment Agency as a blended component unit and is reported in the Redevelopment Agency special revenue fund. This fund has substantively the same governing board as the primary government.

1-B. Government-wide and fund financial statements

Government-wide Financial Statements

The government-wide financial statements, consisting of the statement of net assets and the statement of changes in net assets report information on all of the non-fiduciary activities of the primary government and its component units. For the most part, the effect of inter-fund activity has been removed from these statements. *Governmental activities*, which normally are supported by taxes and intergovernmental revenues, are reported separately from *business-type activities*, which rely to a significant extent on fees and charges for support.

The statement of net position reports the financial position of the governmental and business-type activities of the City and its discretely presented component units at year-end.

The statement of activities reports the expenses of a given function offset by program revenues directly connected with the functional program. A function is an assembly of similar activities and may include portions of a fund or summarize more than one fund to capture the expenses and program revenues associated with a distinct functional activity. *Direct expenses* are those that are clearly identifiable with a specific function or segment. Indirect expenses are not allocated. All expenses are included in the applicable function. *Program revenues* include (1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privilege provided by a given function or segment and (2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as *general revenues*.

Fund Financial Statements

Separate financial statements are provided for governmental funds, proprietary funds, and fiduciary funds, if any, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statement.

1-C. Measurement focus, basis of accounting and financial statement presentation

The financial statements of the City are prepared in accordance with generally accepted accounting principles (GAAP).

The government-wide statements are reported using the economic resources measurement focus and the accrual basis of accounting, generally including the reclassification of internal activity (between or within funds). However, internal eliminations do not include utility services provided to City departments or payments to the general fund by other funds for providing administrative and billing services for such funds. Reimbursements are reported as reductions to expenses. Proprietary and any fiduciary fund financial statements are also reported using this same focus and basis of accounting although internal activity is not eliminated in these statements. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax revenues are recognized in the year for which they are levied while grants are recognized when the grantor eligibility requirements are met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. The City considers revenues to be available if they are collected within 60 days of the end of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Property taxes, sales taxes, intergovernmental revenues, and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current fiscal period. Only the portion of special assessments, if any, receivable within the current fiscal period is considered to be susceptible to accrual as revenue of the current period. All other revenue items are considered to be measurable and available only when cash is received by the government.

Proprietary funds distinguish *operating* revenues and expenses from *non-operating* items. Operating income and expense reported in proprietary fund financial statements include those revenues and expenses related to the primary, continuing operations of the fund. Principal operating revenues for proprietary funds are charges to customers for sales or services. Principal operating expenses are the costs of providing goods or services, including administrative expenses and depreciation of capital assets. Other revenues and expenses are classified as non-operating in the financial statements.

Policy regarding use of restricted resources

When both restricted and unrestricted resources are available for use, it is the City's policy to use restricted resources first, then unrestricted resources as needed. Restricted assets and liabilities payable from restricted assets current in nature are reported with current assets and current liabilities. Restricted assets, non-current reports assets restricted for acquisition or construction of non-current assets, or are restricted for liquidation of long-term debt.

1-D. Fund types and major funds

Governmental funds

The City reports the following major governmental fund:

The *general fund* is the government's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund.

The *redevelopment agency special revenue fund* accounts for the funds to finance the acquisition for land, construct culinary water projects and sanitary sewer projects, placement of dry utilities and other infrastructures, and construct roads.

The *capital projects fund* accounts for financial resources used for the acquisition or construction of the capital facilities of the City (other than those of the enterprise funds).

The City reports the following nonmajor governmental funds:

The *impact fees special revenue fund* is used to account for the activity collection and use of impact fees.

Proprietary funds

The City reports the following major proprietary funds:

The *water fund* is used to account for the activities regarding culinary water distribution.

The *sewer fund* is used to account for the activities regarding the operations of the sewer system collection and disposal system.

The *storm water fund* is used to account for the activities regarding the operations of the storm water system.

The *transportation utility fund* is used to account for the operations of the transportation activity.

1-E. Assets, Liabilities, and Net Position or Equity

1-E-*1. Deposit and Investments*

Investments are reported at fair value. Deposits are reported at cost, which approximates fair value. Investments of the City are accounts at the Utah Public Treasurers Investments Fund. Additional information is contained in Note 3.

1-E-*2. Cash and Cash Equivalents*

The City's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition.

1-E. Assets, Liabilities, and Net Assets or Equity (continued)

1-E-*3. Receivables and Payables*

Accounts receivable other than property taxes and intergovernmental receivables are from customers primarily for utility services. Property tax and intergovernmental receivables are considered collectible. Customer accounts are reported net of an allowance for uncollectible accounts. The allowance amount is estimated using accounts receivable past due more than 90 days.

During the course of operations, there may be transactions occur between funds that are representative of lending/borrowing arrangements outstanding at year-end. These are reported as either due to or due from other funds.

Property taxes are assessed and collected for the City by Utah County and remitted to the City shortly after collection. Property taxes become a lien on January 1 and are levied on the first Monday in August. Taxes are due and payable on November 1, and are delinquent after November 30. All dates are in the year of levy.

1-E-*4. Restricted Assets*

In accordance with certain revenue bond covenants, resources may be required to be set aside for the repayment of such bonds, and, on occasion, for the repair and maintenance of the assets acquired with the bond proceeds. These resources are classified as restricted assets on the balance sheet because of their limited use. Most capital grant agreements mandate that grant proceeds be spent only on capital assets. Unspent resources of this nature are also classified as restricted. The limited use resources described above involve a reported restriction of both cash and net assets.

Unspent proceeds of bonds issued to finance capital assets are also reported as restricted cash.

1-E-*5. Inventories and Prepaid items*

Inventories in governmental funds are not reported. These consist of immaterial amounts of expendable supplies for consumption. Such supplies are acquired as needed. Proprietary fund inventories, where material, are stated at the lower of cost or market, using the first-in, first-out basis.

Prepaid items record payments to vendors that benefit future reporting and are reported on the consumption basis. Both inventories and prepayments are similarly reported in government-wide and fund financial statements.

1-E-*6. Deferred Outflows/Inflows of Resources*

In addition to assets, the statement of net position will sometimes include a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expense/expenditure) until then. The City reports deferred outflows of resources related to pensions as required by GASB 68.

1-E. Assets, Liabilities, and Net Assets or Equity (continued)

1-E-*6. Deferred Outflows/Inflows of Resources (continued)*

In addition to liabilities, the statement of net position will sometimes include a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources represents an acquisition of net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until then. Property taxes to be collected in November were unavailable in the current fiscal year. Accordingly, these property taxes are deferred and will be recognized as an inflow of resources in the period that the amounts become available. Additionally, the City reports deferred inflows of resources related to pensions as required by GASB 68.

1-E-*7. Pensions*

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Utah Retirement Systems Pension Plan (URS) and additions to/deductions from URS's fiduciary net position have been determined on the same basis as they are reported by URS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

1-E-*8. Capital Assets*

Capital assets includes property, plant, equipment, and infrastructure assets (e.g., roads, bridges, sidewalks, and similar items), and are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. Capital assets are defined by the government as assets with an initial, individual cost of $5,000 and an estimated useful life in excess of two years. Such assets are recorded at historical cost or at estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated fair market value at the date of donation. Infrastructure is depreciated.

The cost of normal maintenance and repairs that does not add to the value of an asset or materially extend the assets' life is not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed. Interest incurred during the construction phase of capital assets of business-type activities is included as part of the capitalized value of the assets constructed. Upon retirement or disposition of capital assets, the cost and related accumulated depreciation are removed from the respective accounts. Depreciation of capital assets is computed using the straight-line method over their estimated useful lives.

Property, plant, and equipment of the primary government, as well as the component units if any, is depreciated using the straight-line method over the following estimated useful lives:

Assets	Years
Buildings and improvements	30-50
Utility systems	20-40
Infrastructure	15-40
Vehicles and equipment	5-10

1-E-*9. Long-term Obligations*

In the government-wide and proprietary fund financial statements, long-term debt and obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund statement of net assets. Bond issuance costs, bond discounts or premiums, and the difference between the reacquisition price and the net carrying value of refunded debt are deferred and amortized over the terms of the respective bonds using the effective interest method. Bonds payable are reported net of the applicable bond premium or discount.

The governmental fund financial statements recognize the proceeds of debt and premiums as other financing sources of the current period. Issuance costs are reported as expenditures.

1-E-*10. Net position flow assumption*

Sometimes the City will fund outlays for a particular purpose from both restricted (e.g., restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted - net position and unrestricted - net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the City's policy to consider restricted - net position to have been depleted before unrestricted - net position is applied.

1-E-*11. Fund balance flow assumptions*

Sometimes the City will fund outlays for a particular purpose from both restricted and unrestricted resources (the total of committed, assigned, and unassigned fund balance). In order to calculate the amounts to reports as restricted, committed, assigned, and unassigned fund balance in the governmental fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the City's policy to consider restricted fund balance to have been depleted before using the components of unrestricted fund balance. Further, when the components of unrestricted fund balance can be used for the same purpose, committed fund balance is depleted first, followed by assigned fund balance. Unassigned fund balance is applied last.

1-E-*12. Fund balance policies*

Fund balance of governmental funds is reported in various categories based on the nature of any limitations requiring the use of resources for specific purposes. The City itself can establish limitations on the use of resources through either a commitment (committed fund balance) or an assignment (assigned fund balance). The committed fund balance classification includes amounts that can be used only for the specific purposes determined by formal action of the City's highest level of decision-making authority. The City Council is the highest level of decision-making authority for the City that can, by adoption of an ordinance prior to the end of the fiscal year, commit fund balance. Once adopted, the limitation imposed by the ordinance remains in place until a similar action is taken (the adoption of another ordinance) to remove or revise the limitation.

1-E. Assets, Liabilities, and Net Position or Equity (continued)

1-E-*12. Fund balance policies (continued)*

Amounts in the assigned fund balance classification are intended to be used by the government for specific purposes, but do not meet the criteria to be classified as committed. The Council may also assign fund balance, as it does when appropriating fund balance, to cover a gap between estimated revenue and appropriations in the subsequent year's appropriated budget. Unlike commitments, assignments generally only exist temporarily. In other words, an additional action does not normally have to be taken for the removal of an assignment. Conversely, as discussed above, an additional action is essential to either remove or revise a commitment.

1-F. Estimates

The preparation of financial statements, in accordance with generally accepted accounting principles (GAAP), requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

NOTE 2 - STEWARDSHIP, COMPLIANCE AND ACCOUNTABILITY

2-A. Budgetary data

Annual budgets are prepared and adopted by ordinance by total for each department, in accordance with

State law, by the Mayor and City Council on or before June 22 for the following fiscal year beginning

July 1. Estimated revenues and appropriations may be increased or decreased by resolution of the City Council at any time during the year. A public hearing must be held prior to any proposed increase in a fund's appropriations. Budgets include activities in the General Fund. The level of the City's budgetary control (the level at which the City's expenditures cannot legally exceed appropriations) is established at the department level. Each department head is responsible for operating within the budget for their department. All annual budgets lapse at fiscal year end.

Utah State law prohibits the appropriation of unassigned General Fund balance to an amount less than 5% of the General Fund revenues. The 5% reserve that cannot be budgeted is used to provide working capital until tax revenue is received to meet emergency expenditures, and to cover unanticipated deficits. Any unassigned General Fund balance greater that 25% of the current year's revenues must be appropriated within the following years.

Once adopted, the budget may be amended by the City Council without a hearing, provided the budgeted expenditures do not exceed budgeted revenues and appropriated fund balance. A public hearing must be held if the budgeted expenditures will exceed budgeted revenues and any fund balance which is available for budgeting. With the consent of the Mayor, department heads may reallocate unexpended appropriated balances from one expenditure account to another within that department during the budget year. Budgets for the General are prepared on the modified accrual basis of accounting. Encumbrances are not used.

2-B. Deficit fund net assets

None of the City's funds have deficit balances.

NOTE 3 - DETAILED NOTES

3-A. Deposits and investments

Cash and investments as of June 30, 2018 consist of the following:

	Fair Value
Demand deposits	$ 29,917,250
Investments - PTIF	34,511,194
Total cash	**$ 64,428,444**

Cash and investments listed above are classified in the accompanying government-wide statement of net assets as follows:

Cash and cash equivalents (current)	$ 6,851,915
Restricted cash and cash equivalents (non-current)	57,576,529
Total cash and cash equivalents	**$ 64,428,444**

Cash equivalents and investments are carried at fair value in accordance with GASB Statement No. 72.

The Utah Money Management Act (UMMA) establishes specific requirements regarding deposits of public funds by public treasurers. UMMA requires that City funds be deposited with a qualified depository which includes any depository institution which has been certified by the Utah State Commissioner of Financial Institutions as having met the requirements specified in UMMA Section 51, Chapter 7. UMMA provides the formula for determining the amount of public funds which a qualified depository may hold in order to minimize risk of loss and also defines capital requirements which an Institution must maintain to be eligible to accept public funds. UMMA lists the criteria for investments and specifies the assets which are eligible to be invested in, and for some investments, the amount of time to maturity.

UMMA enables the State Treasurer to operate the Public Treasurer's Investment Pool (PTIF). PTIF is managed by the Utah State Treasurer's investment staff and comes under the regulatory authority of the Utah Money Management Council. This council is comprised of a select group of financial professionals from units of local and state government and financial institutions doing business in the state. PTIF operations and portfolio composition is monitored at least semi-annually by the Utah Money Management Council. PTIF is unrated by any nationally recognized statistical rating organizations. Deposits in PTIF are not insured or otherwise guaranteed by the State of Utah. Participants share proportionally in any realized gains or losses on investments which are recorded on an amortized cost basis. The balance available for withdrawal is based on the accounting records maintained by PTIF. The fair value of the investment pool is approximately equal to the value of the pool shares. The City maintains monies not immediately needed for expenditure in PTIF accounts.

3-A. Deposits and investments (continued)

Fair Value of Investments
The City measures and records its investments using fair value measurement guidelines established by generally accepted accounting principles. These guidelines recognize a three-tiered fair value hierarchy, as follows: Level 1--Quoted prices for identical investments in active markets; Level 2--Observable inputs other than quoted market prices; and, Level 3--Unobservable inputs. At June 30, 2018, the City's investments in PTIF had an approximate fair value of $34,511,194. The PTIF uses a Level 2 fair value measurement.

Deposit and Investment Risk
The City maintains no investment policy containing any specific provisions intended to limit the City's exposure to interest rate risk, credit risk, and concentration of credit risk other than that imposed by UMMA. The City's compliance with the provisions of UMMA addresses each of these risks.

Interest rate risk
Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. All deposits and investments of the City are available immediately.

Credit risk
Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligations. Custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover its deposits. At June 30, 2018, all of the City's demand deposits are covered by FDIC insurance.

Custodial credit risk for investments is the risk that, in the event of the failure of the counterparty (e.g., broker-dealer) to a transaction, a government will not be able to recover the value of its investment or collateral securities that are in the possession of another party. This risk is addressed through the policy of investing excess monies only in PTIF.

Concentration of credit risk
Concentration of credit risk is the risk of loss attributed to the magnitude of a government's investment in a single issuer. PTIF falls under the constraints of UMMA in limiting concentrations of investments.

3-B. Receivables

The allowance policy is described in Note 1-E-3. Receivables as of year-end for the City's funds are shown below:

	General Fund	RDA Fund	Water Fund	Sewer Fund	Storm Water Fund	Transp-ortation Fund	Total
Customers, current	$ 66,646	50,843	188,951	79,239	10,839	6,838	403,356
Due from Developers	-	208,695	-	-	-	-	208,695
Property tax	2,249,116	-	-	-	-	-	2,249,116
Total receivables	**$ 2,315,761**	**259,538**	**188,951**	**79,239**	**10,839**	**6,838**	**2,861,166**

3-C. Capital Assets

Capital asset activity for the governmental activities for the year ended June 30, 2018 was as follows:

Governmental activities	Beginning Balance	Additions	Retirements	Ending Balance
Capital assets, not being depreciated:				
Land and land rights	$ 10,754,674	2,750,197	-	13,504,871
Construction in progress	875,183	1,544,427	917,316	1,502,294
Total capital assets, not being depreciated	**11,629,856**	**4,294,624**	**917,316**	**15,007,165**
Capital assets, being depreciated:				
Buildings	2,411,272	-	-	2,411,272
Improvements other than buildings	203,959	-	-	203,959
Machinery and equipment	175,127	550,381	-	725,509
City Infrastructure	26,594,972	4,237,504	-	30,832,476
RDA Infrastructure	18,807,584	-	-	18,807,584
Total capital assets, being depreciated	**48,192,914**	**4,787,885**	**-**	**52,980,799**
Less accumulated depreciation for:				
Buildings	331,525	63,936	-	395,461
Improvements other than buildings	30,926	9,120	-	40,045
Machinery and equipment	60,937	34,989	-	95,926
City Infrastructure	2,720,637	712,887	-	3,433,524
RDA Infrastructure	-	470,190	-	470,190
Total accumulated depreciation	**3,144,025**	**1,291,121**	**-**	**4,435,146**
Total capital assets being depreciated, net	**45,048,889**	**3,496,765**	**-**	**48,545,653**
Governmental activities capital assets, net	**$ 56,678,745**	**7,791,389**	**917,316**	**63,552,818**

Depreciation expense was charged to functions/programs of the primary government governmental activities as follows:

Governmental activities:	
General government	$ 537,658
Highways and public improvements	732,906
Parks, recreation and public property	20,557
Total	**$ 1,291,121**

3-C. Capital Assets (continued)

Capital asset activity for the business-type activities for the year ended June 30, 2018 was as follows:

Business-type activities	Beginning Balance	Additions	Retirements	Ending Balance
Capital assets, not being depreciated:				
Land and water shares	$ 531,575	-	-	531,575
Construction in progress	1,563,455	-	-	1,563,455
Total capital assets, not being depreciated	**2,095,030**	**-**	**-**	**2,095,030**
Capital assets, being depreciated:				
Water system	2,389,276	-	-	2,389,276
Sewer system	7,952,573	-	-	7,952,573
Total capital assets, being depreciated	**10,341,849**	**-**	**-**	**10,341,849**
Less accumulated depreciation for:				
Water system	448,832	68,530	-	517,362
Sewer system	1,261,535	262,774	-	1,524,308
Total accumulated depreciation	**1,710,367**	**331,304**	**-**	**2,041,671**
Total capital assets being depreciated, net	**8,631,482**	**(331,304)**	**-**	**8,300,178**
Business-type activities capital assets, net	**$ 10,726,512**	**(331,304)**	**-**	**10,395,208**

Depreciation expense was charged to functions/programs of the primary government business-type activities was follows:

Business-type activities:	
Water	$ 68,530
Sewer	262,774
Total	**$ 331,304**

3-D. Long-term debt

Long-term liability activity for the year ended June 30, 2018 was as follows:

Governmental activities:

	Original Principal	% Rate	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
2016 Tax Increment Revenue Bond							
Matures 2025	16,150,000	3.00	$13,056,000	1,668,580	1,462,580	13,262,000	1,310,000
2016 RDA Refunding Bond							
Matures 2031	15,576,000	2.45	14,535,000	-	883,000	13,652,000	904,000
2017 RDA Bond							
Matures 2036	30,624,000	2.97	-	30,624,000	1,084,000	29,540,000	758,000
Total bonds payable			**27,591,000**	**32,292,580**	**3,429,580**	**56,454,000**	**2,972,000**
Note Payable - Developer							
	8,110,267	-	7,028,744	-	91,632	6,937,112	-
Total governmental activity long-term liabilities			**$34,619,744**	**32,292,580**	**3,521,212**	**63,391,112**	**2,972,000**

Business-type activities:

Business-type	Original Principal	% Rate	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Note Payable - Developer							
	$ 8,731,111	-	$ 5,621,213	-	274,190	5,347,023	-
Total business-type activity long-term liabilities			**$ 5,621,213**	**-**	**274,190**	**5,347,023**	**-**

Notes Payable - During the 2013 fiscal year, the City entered into an agreement to reimburse The Homestead, a developer, for work performed. The developer placed culinary water and sanitary sewer pipes, constructed roads, and storm drains. The City has agreed to reimburse the developer with a percentage of impact fees that are collected for the area the work was performed. Because reimbursement is contingent upon impact fees collected, there is no amortization schedule for this note.

Tax Increment Revenue Bond - During 2018, the City refinanced the bond to lower the interest rate and increase the principal balance to the originally financed amount. The bond was originally issued to finance the removal and relocation of the UPRR rail spur that currently fronts Geneva road. This project will clean up the Geneva Road corridor and allow more access off Geneva Road. The additional principal will finance infrastructure projects as approved projects for the funding. Principal and interest payments are to be made annually on May 1st.

2017 RDA Bond – During 2018, the City issued a bond to finance environmental remediation and infrastructure construction. The City plans to expend the money over 3 to 5 years to allow the development north of 800 North to move forward.

3-D. Long-term debt (continued)

Debt service requirements to maturity for governmental activities are as follows:

	Principal	Interest	Total
2019	$ 2,972,000	1,509,978	4,481,978
2020	2,969,000	1,426,684	4,395,684
2021	3,423,000	1,343,606	4,766,606
2022	3,519,000	1,247,168	4,766,168
2023	3,618,000	1,148,011	4,766,011
2024 - 2028	17,967,000	4,152,191	22,119,191
2029 - 2033	13,230,000	2,420,421	15,650,421
2033 - 2036	8,756,000	729,750	9,485,750
Total	**$ 56,454,000**	**13,248,059**	**70,431,809**

3-E. Redevelopment Agency disclosures

In accordance with Section 17A-2-1217(3), the following information is provided for the Redevelopment Agency Fund:

a) The tax increment collected by the Development Agency was as follows:

Geneva Urban Renewal Project	$ 7,143,782

b) The outstanding principal amount of bonds issued to finance the costs associated with the project areas are as follows:

Tax Increment Revenue Bonds	$ 43,192,000

c) The following amounts were expended during the year ended June 30, 2018:

Site improvements	$ 4,294,885
Bond payments	4,688,120
Administrative costs	1,916,024
Total	$ 10,899,029

3-F. Interfund receivable, payables, and transfers

Interfund transfers:

	Transfers In	Transfers Out
General Fund	$ 1,400,000	256,211
Capital Projects Fund	256,211	1,656,211
Sewer Fund	15,911	-
Transportation Fund	240,300	-
Total	**$1,912,423**	**1,912,423**

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them and (2) move unrestricted revenues collected in the general fund to finance various programs accounted for in the other funds in accordance with budgetary authorizations.

NOTE 4 - OTHER INFORMATION

4-A. Risk management

The City is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; and natural disasters. The City participates in the Utah Local Government Trust, a public agency insurance mutual, which provides coverage for property damage and general liability. The City is subject to a minimal deductible for claims. There have been no significant reductions in insurance coverage from coverage in the prior year. Amounts of settlements have not exceeded insurance coverage in any of the past three fiscal years.

4-B. Rounding Convention

A rounding convention to the nearest whole dollar has been applied throughout this report, therefore the precision displayed in any monetary amount is plus or minus $1. These financial statements are computer generated and the rounding convention is applied to each amount displayed in a column, whether detail item or total. As a result, without the overhead cost of manually balancing each column, the sum of displayed amounts in a column may not equal the total displayed. The maximum difference between any displayed number or total and its actual value will not be more than $1.

4-C. Subsequent Events

The City has evaluated subsequent events through January 5, 2019, the date the financial statements were available to be issued.

4-D. Pension Plans

General Information about the Pension Plan

Plan description:
Eligible plan participants are provided with pensions through the Utah Retirement Systems. The Utah Retirement Systems are comprised of the following Pension Trust funds:

Public Employees Noncontributory Retirement System (Noncontributory System) is a multiple employer, cost sharing, public employee retirement system:

Tier 2 Public Employees Contributory Retirement System (Tier 2 Public Employees System) is a multiple employer cost sharing public employer retirement system;

The Tier 2 Public Employees System became effective July 1, 2011. All eligible employees beginning on or after July 1, 2011, who have no previous service credit with any of the Utah Retirement Systems, are members of the Tier 2 Retirement System.

The Utah Retirement Systems (Systems) are established and governed by the respective sections of Title 49 of the Utah Code Annotated 1953, as amended. The Systems' defined benefit plans are amended statutorily by the State Legislature. The Utah State Retirement Office Act in Title 49 provides for the administration of the Systems under the direction of the Board, whose members are appointed by the Governor. The Systems are fiduciary funds defined as pension (and other employee benefit) trust funds. URS is a component unit of the State of Utah. Title 49 of the Utah Code grants the authority to establish and amend the benefit terms.

URS issues a publicly available financial report that can be obtained by writing Utah Retirement Systems, 560 E. 200 S, Salt Lake City, Utah 84102 or visiting the website: www.urs.org.

Benefits provided:
URS provides retirement, disability, and death benefits. Retirement benefits are as follows:

System	Final Average Salary	Years of service required and/or age eligible for benefit	Benefit percentage per year of service	Cola **
Noncontributory System	Highest 3 Years	30 years any age 25 years any age* 20 years age 60* 10 years age 62* 4 years age 65	2.0% per year all years	Up to 4%
Tier 2 Public Employees System	Highest 5 Years	35 years any age 20 years any age 60* 10 years age 62* 4 years age 65	1.5% per year all years	Up to 2.5%

* with actuarial reductions
** All past-retirement cost-of-living adjustments are non-compounding and are based on the original benefit except for Judges, which is a compounding benefit. The cost-of-living adjustments are also limited to the actual Consumer Price Index (CPI) increase for the year, although unused CPI increases not met may be carried forward to subsequent years.

4-D. Pension Plans (continued)

Contributions:
As a condition of participation in the Systems, employers and/or employees are required to contribute certain percentages of salary and wages as authorized by statute and specified by the URS Board. Contributions are actuarially determined as an amount that, when combined with employee contributions (where applicable) is expected to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded actuarial accrued liability.

Contribution rates are as follows:

Utah Retirement Systems	Employee	Employer	Employer 401(k) Plan
Contributory System			
111 - Local Government Div - Tier 2	N/A	15.11	1.58
Noncontributory System			
15 - Local Government Div - Tier 1	N/A	18.47	N/A
Tier 2 DC Only			
211 - Local Government	N/A	6.69	10.00

Tier 2 rates include a statutory required contribution to finance the unfunded actuarial accrued liability of the Tier 1 plans.

For the fiscal year ended June 30, 2018, the employer and employee contributions to the Systems were as follows:

System	Employer Contributions	Employee Contributions
Noncontributory System	$ 88,415	N/A
Tier 2 Public Employees System	86,450	-
Tier 2 DC Only System	3,302	N/A
Total Contributions	**$ 178,167**	-

Contributions reported are the URS Board approved required contributions by System. Contributions in the Tier 2 Systems are used to finance the unfunded liabilities in the Tier 1 Systems.

Pension Assets, Liabilities, Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2018, we reported a net pension asset of $0 and a net pension liability of $318,786.

	(Measurement Date): December 31, 2017			Proportionate	
	Net Pension Asset	Net Pension Liability	Proportionate Share	Shre 12/31/2016	Increase (Decrease)
Noncontributory System	$ -	$ 313,730	0.0716065%	0.0428454%	0.0287611%
Tier 2 Public Employees System	-	5,056	0.0573468%	0.0291848%	0.0281620%
Total	**$ -**	**$ 318,786**			

4-D. Pension Plan (continued)

The net pension asset and liability was measured as of December 31, 2017, and the total pension liability used to calculate the net pension asset and liability was determined by an actuarial valuation as of January 1, 2017 and rolled-forward using generally accepted actuarial procedures. The proportion of the net pension asset and liability is equal to the ratio of the employer's actual contributions to the Systems during the plan year over the total of all employer contributions to the System during the plan year.

For the year ended June 30, 2018, we recognize pension expense of $221,174.

At June 30, 2018, we reported deferred outflows of resources and deferred inflows of resources relating to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience	$ 7,187	$ 23,935
Changes in assumptions	119,495	7,842
Net difference between projected and actual earnings on pension plan investments	69,129	184,713
Changes in proportion and difference between contributions	162,377	-
Contributions subsequent to the measurement date	86,598	-
Total	**$ 444,786**	**$ 216,490**

$86,598 was reported as deferred outflows of resources related to pensions results from contributions made by us prior to our fiscal year end, but subsequent to the measurement date of December 31, 2016. These contributions will be recognized as a reduction of the net pension liability in the upcoming fiscal year.

Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended December 31,	Net Deferred Outflows (Inflows) of Resources
2018	$ 77,205
2019	82,121
2020	17,075
2021	(39,891)
2022	(1,038)
Thereafter	6,226

4-D. Pension Plans (continued)

Actuarial assumptions:
The total pension liability in the December 31, 2017, actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.50 Percent
Salary increases	3.25 - 9.75 percent, average, including inflation
Investment rate of return	6.95 percent, net of pension plan investment expense, including inflation

Mortality rates were developed from actual experience and mortality tables, based on gender, occupation and age, as appropriate, with adjustments for future improvement in mortality based on Scale AA, a model developed by the Society of Actuaries.

The actuarial assumptions used in the January 1, 2017, valuation were based on the results of an actuarial experience study for the five-year period ending December, 31, 2016.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best- estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation.

The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

	Expected Return Arithmetic Basis		
Assets class	Target Asset Allocation	Real Return Arithmetic Basis	Long Term expected portfolio real rate of return
Equity securities	40%	6.15%	2.46%
Debt securities	20%	0.40%	0.08%
Real assets	15%	5.75%	0.86%
Private equity	9%	9.95%	0.89%
Absolute return	16%	2.85%	0.46%
Cash and cash equivalents	0%	0.00%	0.00%
Totals	**100.00%**		**4.75%**
Inflation			2.50%
Expected arithmetic nominal return			7.25%

The 6.95% assumed investment rate of return is comprised of an inflation rate of 2.50%, a real return of 4.45% that is net of investment expense.

4-D. Pension Plans (continued)

Discount rate:
The discount rate used to measure the total pension liability was 6.95 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that contributions from all participating employers will be made at contractually required rates that are actuarially determined and certified by the URS Board. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability. The discount rate was reduced to 6.95 percent from 7.20 percent from the prior measurement period.

Sensitivity of the proportionate share of the net pension asset and liability to changes in the discount rate:
The following presents the proportionate share of the net pension liability calculated using the discount rate of 6.95 percent, as well as what the proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (5.95 percent) or 1-percentage-point higher (7.95 percent) than the current rate:

System	1% Decrease (5.95%)	Discount Rate (6.95%)	1% Increase (7.95%)
Noncontributory System	$ 848,472	313,730	(130,882)
Tier 2 Public Employees System	59,533	5,056	(36,954)
Total	**$ 908,005**	**318,786**	**(167,836)**

Pension plan fiduciary net position:
Detailed information about the pension plan's fiduciary net position is available in the separately issued URS financial report.

Defined Contribution Savings Plan:
The Defined Contribution Savings Plans are administered by the Utah Retirement Systems Board and are generally supplemental plans to the basic retirement benefits of the Retirement Systems, but may also be used as a primary retirement plan. These plans are voluntary tax-advantaged retirement savings programs authorized under sections 401(k), 457(b) and 408 of the Internal Revenue code. Detailed information regarding plan provisions is available in the separately issued URS financial report.

The City participates in the following Defined Contribution Savings Plans with the Utah Retirement Systems:

- 401(k) Plan
- 457(b) Plan

4-D. Pension Plans (continued)

Employee and employer contributions to the Utah Retirement Contribution Savings Plans for fiscal year ended June 30, 2018, were as follows:

	2018	2017	2016
401(k) Plan			
Employer Contributions	$ 89,891	$ 65,122	$ 35,493
Employee Contributions	14,736	11,422	11,270
457 Plan			
Employer Contributions	$ -	$ -	$ -
Employee Contributions	750	-	-

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REQUIRED SUPPLEMENTARY INFORMATION
(Unaudited)

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Budgetary Comparison Schedules

The Budgetary Comparison Schedules presented in this section of the report are for the City's General Fund and Redevelopment Agency Fund.

Budgeting and Budgetary Control

The budget for the General Fund is legally required and is prepared and adopted on the modified accrual basis of accounting.

Original budgets represent the revenue estimates and spending authority authorized by the City Council prior to the beginning of the year. Final budgets represent the original budget amounts plus any amendments made to the budget during the year by the Council through formal resolution. Final budgets do not include unexpended balances from the prior year because such balances automatically lapse to fund balance at the end of each year.

Current Year Excess of Expenditures over Appropriations

For the year ended June 30, 2018, spending withing each department was under budgeted amounts.

Changes in Assumptions Related to Pensions

As a result of an experience study conducted as of December, 31, 2016, the Board adopted recommended changes to several economic and demographic assumptions that are used in the actuarial valuation. The assumption changes that had the largest impact on the Total Pension Liability (and actuarial accrued liability) include a decrease in the investment return assumption from 7.20% to 6.95%, a reduction in the price inflation assumption from 2.60% to 2.50% (which also resulted in a corresponding decrease in the cost-of-living-adjustment assumption for the funds with a 4.00% annual COLA max), and the adoption of an updated retiree mortality table that is developed using URS’s actual retiree mortality experience. There were changes to several other demographic assumptions, but those changes had a minimal impact on the Total Pension Liability (and actuarial accrued liability).

Vineyard City

SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - BUDGET AND ACTUAL - GENERAL FUND

For the Year Ended June 30, 2018

	Budgeted Original	Budgeted Final	Actual	Variance with Final Budget
Revenues				
Taxes	$ 2,644,300	2,751,800	2,949,350	197,550
Licenses and permits	1,162,000	1,312,000	1,570,912	258,912
Intergovernmental revenues	50,000	232,460	200,577	(31,883)
Charges for services	626,000	776,400	816,208	39,808
Fines and forfeitures	25,000	25,000	-	(25,000)
Interest	75,000	100,000	135,934	35,934
Miscellaneous revenue	4,000	5,000	20,370	15,370
Total revenues	**4,586,300**	**5,202,660**	**5,693,352**	**490,692**
Expenditures				
General government	2,041,800	4,754,100	4,722,482	31,618
Public safety	1,194,100	1,212,200	1,179,929	32,272
Streets and public works	486,800	633,000	366,590	266,410
Parks and recreation	214,900	245,900	141,285	104,615
Total expenditures	**3,937,600**	**6,845,200**	**6,410,285**	**434,915**
Excess (deficiency) of revenues over (under) expenditures	**648,700**	**(1,642,540)**	**(716,933)**	**925,607**
Other financing sources and (uses)				
Transfers in	-	-	1,400,000	1,400,000
Transfers out	(648,700)	(1,198,760)	(256,211)	942,549
Total other financing sources and (uses)	**(648,700)**	**(1,198,760)**	**1,143,789**	**(2,342,549)**
Net change in fund balances	**-**	**(2,841,300)**	**426,855**	**3,268,155**
Fund balances - beginning of year	1,279,525	1,279,525	1,279,525	-
Fund balances - end of year	**$ 1,279,525**	**(1,561,775)**	**1,706,381**	**3,268,155**

Vineyard City

SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - BUDGET AND ACTUAL - REDEVELOPMENT AGENCY FUND

For the Year Ended June 30, 2018

	Budgeted Original	Budgeted Final	Actual	Variance with Final Budget
Revenues				
Taxes	$ 6,476,000	7,143,782	7,143,782	-
Charges for services	-	-	-	-
Interest	37,000	500,000	954,156	454,156
Total revenues	**6,513,000**	**7,643,782**	**8,097,938**	**454,156**
Expenditures				
General government	30,757,200	13,156,000	6,210,909	6,945,091
Debt service	4,887,900	4,887,900	4,688,120	199,780
Total expenditures	**35,645,100**	**18,043,900**	**10,899,029**	**7,144,871**
Excess (deficiency) of revenues over (under) expenditures	**(29,132,100)**	**(10,400,118)**	**(2,801,091)**	**7,599,027**
Other financing sources and (uses)				
Developer Contributions	-	-	508,248	508,248
Bond proceeds	30,000,000	30,000,000	32,292,580	2,292,580
Total other financing sources and (uses)	**30,000,000**	**30,000,000**	**32,800,828**	**(2,800,828)**
Net change in fund balances	**867,900**	**19,599,882**	**29,999,736**	**10,399,854**
Fund balances - beginning of year	24,886,524	24,886,524	24,886,524	-
Fund balances - end of year	**$ 25,754,424**	**44,486,406**	**54,886,260**	**10,399,854**

Vineyard City

SCHEDULE OF THE PROPORTIONATE SHARE OF THE NET PENSION LIABILITY

June 30, 2018

Last 10 Fiscal Years*

	2017	2016	2015	2014
Noncontributory Retirement System				
Proportion of the net pension liability (asset)	0.0716065%	0.0428454%	0.0267916%	0.0164841%
Proportionate share of the net pension liability (asset)	$ 313,730	$ 275,120	$ 151,600	$ 71,578
Covered employee payroll	$ 455,983	$ 327,325	$ 200,661	$ 121,762
Proportionate share of the net pension liability (asset) as a percentage of its covered-employee payroll	68.80%	84.05%	75.55%	58.80%
Plan fiduciary net position as a percentage of the total pension liability (asset)	91.90%	87.30%	87.80%	90.20%
Tier 2 Public Employee System				
Proportion of the net pension liability (asset)	0.0573468%	0.0291848%	0.0164267%	0.0131259%
Proportionate share of the net pension liability (asset)	$ 5,056	$ 3,256	$ (36)	$ (398)
Covered employee payroll	$ 561,104	$ 239,338	$ 106,132	$ 64,352
Proportionate share of the net pension liability (asset) as a percentage of its covered-employee payroll	0.90%	1.36%	-0.03%	-0.60%
Plan fiduciary net position as a percentage of the total pension liability (asset)	97.40%	95.10%	100.20%	103.50%

* In accordance with paragraph 81.a of GASB 68, employers will need to disclose a 10-year history of their proportionate share of the Net Pension Liability (Asset) in their RSI. The 10-year schedule will need to be built prospectively.

Vineyard City

SCHEDULE OF CONTRIBUTIONS

June 30, 2018

Last 10 Fiscal Years*

	As of fiscal year ended June 30,	Actuarial Determined Contributions	Contributions in relation to the contractually required contribution	Contribution deficiency (excess)	Covered employee payroll	Contributions as a percentage of covered employee payroll
Noncontributory Retirement System	2014	$ 13,468	$ 13,468	$ -	$ 77,896	17.29%
	2015	31,458	31,458	-	171,009	18.40%
	2016	47,587	47,587	-	248,853	19.12%
	2017	62,955	62,955	-	396,016	15.90%
	2018	88,415	88,415	-	487,369	18.14%
Tier 2 Public Emplyoees System*	2014	$ 7,498	$ 7,498	$ -	$ 54,092	13.86%
	2015	11,989	11,989	-	90,991	13.18%
	2016	21,683	21,683	-	145,428	14.91%
	2017	60,708	60,708	-	407,162	14.91%
	2018	86,450	86,450	-	572,416	15.10%
Tier 2 Public Employees DC Only System**	2014	$ -	$ -	$ -	$ -	0.00%
	2015	-	-	-	-	0.00%
	2016	-	-	-	-	0.00%
	2017	617	617	-	9,225	6.69%
	2018	3,302	3,302	-	49,355	6.69%

* Paragraph 81.b of GASB 68 requires employers to disclose a 10-year history of contributions in RSI. The 10-year schedule will need to be built prospectively. The schedule above is only for the past 5 years.

Contributions in Tier 2 inclue an amortization rate to help fund the unfunded liabilities in the Tier 2 systems. Tier 2 systems were created effective July 1, 2011.

Contributions as a percentage of covered-payroll may be different than the board certified rate due to rounding and other administrative issues.

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OTHER INFORMATION

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INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS*

Honorable Mayor and City Council
Vineyard City
Vineyard, UT

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Vineyard City, as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise Vineyard City's basic financial statements, and have issued our report thereon dated February 1, 2019.

Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered Vineyard City's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Vineyard City's internal control. Accordingly, we do not express an opinion on the effectiveness of Vineyard City's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe that a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Vineyard City's financial statements are free from material misstatement, we preformed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance

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with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards.*

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report in an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Gilbert & Stewart

GILBERT & STEWART
Certified Public Accountants
February 1, 2019

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INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE AND REPORT ON INTERNAL CONTROL OVER COMPLIANCE AS REQUIRED BY THE *STATE COMPLIANCE AUDIT GUIDE*

Honorable Mayor and City Council
Vineyard City
Vineyard, UT

Report On Compliance

We have audited Vineyard City's ("the City") compliance with the applicable state compliance requirements described in the *State Compliance Audit Guide*, issued by the Office of the Utah State Auditor, that could have a direct and material effect on the City for the year ended June 30, 2018.

State compliance requirements were tested for the year ended June 30, 2018 in the following areas:

Budgetary Compliance
Fund Balance
Utah Retirement Systems
Restricted Taxes and Related Revenues
Open and Public Meetings Act
Treasurer's Bond
Cash Management

Management's Responsibility

Management is responsible for compliance with the state requirements referred to above.

Auditor's Responsibility

Our responsibility is to express an opinion on the City's compliance based on our audit of the compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States; and the *State Compliance Audit Guide*. Those standards and the *State Compliance Audit Guide* require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the compliance requirements referred to above that could have a direct and material effect on the City occurred. An audit includes examining, on a test basis, evidence about the City's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each state compliance requirements. However, our audit does not provide a legal determination of the City's compliance.

Opinion on Compliance

In our opinion, Vineyard City, complied, in all material respects, with the compliance requirements identified above for the year ended June 30, 2018.

Other Matters

The results of our auditing procedures disclosed instances of noncompliance, which are required to be reported in accordance with the *State Compliance Audit Guide* and which are described in our letter to management dated February 1, 2019 as items 2018-1. Our opinion on compliance is not modified with respect to these matters.

Vineyard City's response to the noncompliance findings identified in our audit is described in the accompanying letter to management dated February 1, 2019 as items 2018-1. The City's response was not subjected to the auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

Report on Internal Control over Financial Reporting

Management of the City is responsible for establishing and maintaining effective internal control over compliance with the compliance requirements referred to above. In planning and performing our audit of compliance, we considered the City's internal control over compliance with the compliance requirements that could have a direct and material effect on the City to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance on state compliance requirements and to test and report on internal control over compliance in accordance with the *State Compliance Audit Guide*, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the City's internal control over compliance.

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a state compliance requirement on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a state compliance requirement will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a state compliance requirement that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control and compliance and the results of that testing based on the requirements of the *State Compliance Audit Guide*. Accordingly, this report is not suitable for any other purpose.

Gilbert & Stewart

February 1, 2019